



Microsoft Desktop Virtualization Explained 2026

AVD and Windows 365: how to choose
the right platform · MC2MC Antwerp

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About the speaker



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Technologist · Nerdio · Public speaker

Eric is a proud husband and father of three with over 25 years of IT experience, 22 of those focused on End User Computing, with past roles at Citrix and Microsoft.

- Modern Workplace, EUC, AVD / Windows 365
- Weekend DIY handyman, amateur gamer and cook, and unabashed Nintendo aficionado.
- Podcasts: Login Techcast, EUCdigest, and Microsoft #SecurityLifehacks.
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About the speaker



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Jens Du Four

Cloud Endpoint Specialist · Microsoft · Speaker

Jens works at Microsoft on end user computing and Windows 365, and blogs and speaks about connecting endpoints to the cloud.

- Modern Workplace, EUC and VDI, with Windows 365 and AVD as home turf
- Intune, endpoint management and cloud based device deployment
- Speaker at Belgian and international community events, incl. MC2MC
- Blogs at jensdufour.be: connecting you to the cloud, one endpoint at a time

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Replace the wrong question with a better one

This one reframing resolves most platform debates before they start.

THE QUESTION ASKED MOST

“Which platform should I use, AVD or Windows 365?”

This almost never has the answer the customer hoped for. It's the wrong question.

THE BETTER QUESTION

“What does this WORKLOAD actually need?”

Start from the workload (users, apps, data, location, operating model) and the platform follows from the requirements.

What we'll cover

Eight sections. One decision framework. No generalities.

01

The portfolio

Why the menu got bigger, and what that means

02

Architecture

What changes between AVD, W365, Cloud Apps,
Hybrid

03

What's new in 2026

Flex, Link, Hybrid, identity & profiles

04

Use-case mapping

Which workload belongs on which platform

05

The decision framework

Five questions that resolve 80% of debates

06

Cost & operational reality

Where AVD and Windows 365 truly differ

07

Managing the platforms

Azure native, Intune and IaC, plus the legacy ties

08

Common do's & don'ts

Practical lessons for choosing and operating

The portfolio

Level 1 · Why the menu got bigger, and what that means for you.

The Microsoft Virtualization portfolio in 2026

Six ways to deliver Windows, each with its own control and simplicity trade-off.



Azure Virtual Desktop

Azure-native VDI. You own the design, so you get the flexibility.



Windows 365

Dedicated Cloud PCs. SaaS simplicity, fixed per-user.



Windows 365 Flex

Reserved access for non-concurrent / shift workers. Was Frontline.



Cloud Apps

Single-app delivery from the W365 service family.



AVD RemoteApp

Published apps on the AVD control plane.



AVD Hybrid (Azure Local / Arc)

Session hosts close to users, apps or data.

Architecture

Level 2 · What actually changes when you move between AVD, W365, Cloud Apps and Hybrid.

Four dimensions that decide

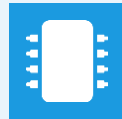
When two platforms differ, the difference is almost always in one of these four.



01

Control plane

Who owns brokering, provisioning and lifecycle?



02

Compute

Dedicated 1:1, pooled multi-session, or app-only?



03

Location

Where do session hosts, apps and data actually run?



04

Management

Azure portal, Intune, M365 admin, or a blended stack?

Pick the dimension that matters most for your scenario. That's usually your deciding factor.

How the platforms compare on each dimension

Pick the row that matters most for your scenario. That's usually your deciding factor.

Dimension	AVD	Windows 365	RemoteApp / Cloud Apps	AVD Hybrid
Control plane	MS-managed brokering; customer-managed design	MS service-driven provisioning	Published apps; shared control plane	Azure control plane, local compute
Compute	Pooled or personal, multi-session	Dedicated 1:1 Cloud PC	The App, no desktop overhead	Pooled or personal on-prem hardware
Location	Azure regions or Azure Local	Microsoft-chosen region per CPC	Service-family dependent	Customer datacenter, branch, edge
Management	Azure + endpoint + profile tooling	Intune / M365 admin-centric	App-lifecycle focused	Azure Arc + Azure + endpoint + profile

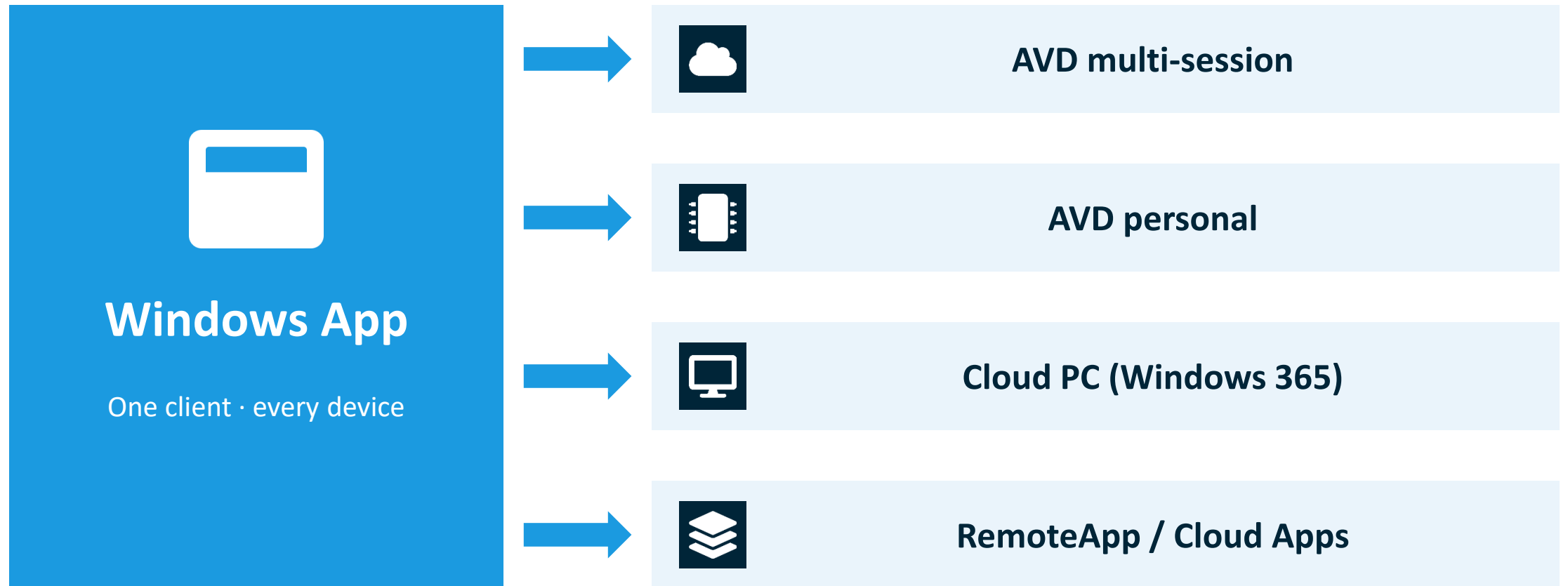
Microsoft EUC: who manages what

Where Microsoft draws the line between platform and customer responsibility.

Layer	Windows 365	Azure Virtual Desktop
Control plane	Microsoft-managed (AVD control plane under the hood)	Microsoft-managed brokering; customer-owned design
Compute	MS-managed, fixed cost, no direct VM access	Customer-managed, usage-based, flexible
Storage	MS-managed, fixed, service-level DR	OS disks + FSLogix, customer-managed, usage-based
Networking	MS-hosted by default (or bring your own VNet)	Customer-managed routing, IPs, security
Profiles	Local / User Experience Sync (Flex Shared)	FSLogix (mandatory pooled, optional personal)
Identity & join	Entra join or Entra hybrid join	Entra / hybrid join; pooled can use AD DS

What does this look like for the user?

The Windows App: a single client for every workload.



What's new in 2026

Level 3 · Flex, Link, Hybrid, external identities, profiles and agents.

Windows 365 Flex

A new name for Windows 365 Frontline. Same product, clearer name.

DEDICATED MODE

Own persistent Cloud PC · up to 3 users share 1 licence

Each user gets their own personal desktop; apps, files and settings persist across sessions. Up to 3 Cloud PCs per licence; only one active at a time.

FOR

Knowledge workers · contractors · developers · part-time staff

SHARED MODE

Pooled Cloud PCs · reset on sign-out

A pool of Cloud PCs for occasional, task-based access. Each session starts clean; optional persistence via User Experience Sync. One user per PC at a time.

FOR

Frontline staff · shift workers · seasonal

Hybrid in 2026: AVD on Azure Local

When latency, sovereignty or data gravity say: keep it close.

WHEN HYBRID WINS

- Latency-sensitive apps near users
- Data residency or sovereignty constraints
- Factory, branch, hospital, lab edge sites
- Apps tied to legacy local dependencies
- Cloud control plane, local compute via Arc

ARCHITECTURE SHIFTS

- Azure provides control & service consistency
- Session hosts run on Azure Local near workload
- Local capacity & hardware lifecycle return

WATCH-OUTS

- Not a shortcut around app modernization
- Reduces latency, increases operational surface
- Preview: validation host pools; multi-session needs Azure Local or Server

External identities for Windows 365 & AVD

Invite guests who sign in with their own home-tenant credentials.

WHAT SHIPPED (GA)

- Entra B2B guests sign in to Cloud PCs and AVD with their own credentials. No named accounts or shared passwords
- Hosts must be Entra-joined, Windows 11 24H2 + Sep-2025 CU
- SSO on the host pool; sign in via Windows App or browser

GOVERN IT

- Conditional Access scoped to external users
- Force MFA, even if their home tenant doesn't
- Global Secure Access + entitlement reviews to purge stale guests

WATCH-OUTS

- Intune user policies don't apply, so assign to the device
- FSLogix for externals still in preview
- Licences don't carry over, so assign in the resource tenant
- No Kerberos/NTLM to on-prem; social IdPs need federation

Windows 365 for Agents

Dedicated, Intune-managed Cloud PCs purpose-built for autonomous AI agents.



WHAT IT DOES

- Direct agents in natural language across browsers, desktop & legacy UI apps
- Automate workflows that live outside APIs, like invoices and CRM updates



TRUST MODEL

- Every agent gets its own identity, governed by Agent 365 (GA)
- Entra ID auth and Conditional Access; Intune policy, the same model as employees



HOW IT WORKS

- Shared Cloud PC pools grouped by team or workload, not 1:1
- Check-out / check-in keeps cost predictable; reverse-connect, no inbound ports



WATCH-OUTS

- Public preview; confirm current region availability
- Needs Agent 365 + Intune + Azure sub; adds cost
- Clean separation of human vs agent sessions

Dev Box folds into Windows 365

Microsoft's cloud developer workstation is now a Windows 365 capability, not a separate product.



WHAT CHANGED

- Dev Box stopped new sign-ups on 1 Nov 2025 and is now in maintenance mode, no new features
- Windows 365 is the forward path; existing Dev Box still runs but is a dead-end



READY TO CODE

- Build 2026: Windows 365 developer image (preview) with VS Code, Git, GitHub CLI, Python, Node.js and WSL at first sign-in
- New dev and AI compute: 32 vCPU and GPU-enabled Cloud PCs



DEPLOY & LICENSE

- Autopilot device preparation installs apps and scripts via Intune before first sign-in
- Dev path uses Windows 365 Flex, up to 3 Cloud PCs per user



WATCH-OUTS

- Plan migration off Dev Box; its roadmap is frozen
- Surface RTX Spark Dev Box is local AI hardware, separate from the cloud service

Also new in 2026: the AVD platform

Beyond Flex, Link and Hybrid: the client, security and image changes that landed this year.



ONE CLIENT

- Windows App is now the single client for AVD, Windows 365 and Dev Box
- Legacy Remote Desktop client (MSRDC) retired for public cloud 27 Mar 2026; AVD classic retires Sep 2026



SECURITY

- Confidential VMs GA, with Trusted Launch on by default for AVD images
- Private Link, watermarking with screen-capture protection, Cloud Keyboard Input Protection (preview)



EXPERIENCE & IMAGE

- Multimedia and call redirection (WebRTC) for Teams and calls; RDP Shortpath via GPO/Intune is GA
- Custom image templates (Azure Image Builder) standardise session-host images



HYBRID, BROADENED

- AVD for hybrid environments is now in public preview
- Arc session hosts beyond Azure Local: Hyper-V, VMware vSphere, Nutanix AHV, physical Windows Server

Also new in 2026: Intune & Windows 365

The management and resilience layer for Cloud PCs and session hosts kept moving all year.



INTUNE INTO M365

- 2026: M365 E3 gains Remote Help, Advanced Analytics and Intune Plan 2 at no extra cost
- M365 E5 adds Endpoint Privilege Management, Enterprise App Management and Cloud PKI



LEAST PRIVILEGE

- EPM runs Cloud PC users as standard, elevating approved apps just-in-time
- Cloud PKI issues certificates with no on-prem PKI or VPN



RESILIENCE

- Point-in-time restore (10 points, 4 to 24h) recovers a Cloud PC, even after a licence-expiry deprovision
- Cross-region DR now covers W365 Flex Dedicated; DR Plus add-on; W365 Boot is GA



ALSO SHIPPED

- Windows 365 Cloud Apps GA: stream single apps, no dedicated Cloud PC per user (Flex Shared)
- User Experience Sync GA; Copilot in Intune answers questions about your Cloud PC estate

Use-case mapping

Level 4 · Match the workload to the platform, not the other way around.

Workload × platform fit

★★ = best fit · ★ = possible · - = avoid. Read across, not down. A workload usually has 2–3 viable options.

WORKLOAD	AVD Multi	AVD Single	RemoteApp	Azure Local	W365 Ent.	W365 Flex	W365 Shared	Cloud Apps
Task worker	★★	-	★	-	★★	★★	★★	-
Knowledge worker	★★	★	-	-	★★	-	-	-
Power / GPU user	-	★★	-	★★	★	-	-	-
Developer / Admin	★	★★	-	★	★★	-	-	-
Shift worker (FLW)	★	-	★	-	-	★★	★★	-
Kiosk / shared	★	-	-	-	-	★	★★	★
App-only delivery	-	-	★★	-	-	-	-	★★
Edge / plant site	-	-	-	★★	-	-	-	-
Sovereign / local	-	-	-	★★	-	-	-	-

The decision framework

Level 5 · Five questions, asked in this order, resolve 80% of platform debates.

Five questions, in this order

Stop at the first one that gives you a clear answer.

1	Do users need a full desktop, or just one or two apps?	If app-only → Cloud Apps or RemoteApp.
2	Do you need pooled multi-session efficiency?	If yes → AVD becomes the lead candidate.
3	Do data, latency or sovereignty require local compute?	If yes → AVD Hybrid on Azure Local.
4	Do you value predictable per-user simplicity over design freedom?	If yes → Windows 365 (Enterprise or Flex).
5	Can your ops team support image, network & host lifecycle?	If not → bias toward service-managed (Windows 365).

Three fast examples, same framework, different answers

Same five questions; three different platforms. That's the framework working.

SCENARIO 01 Call center refresh	SCENARIO 02 Executive / contractor onboarding	SCENARIO 03 Branch warehouse, local app
THE PROBLEM Hundreds of similar users, shared apps, tight cost target.	THE PROBLEM Full personal desktop, fast provisioning, predictable run-state.	THE PROBLEM App and data stay near site. UX must remain consistent.
LEAD WITH AVD pooled multi-session	LEAD WITH Windows 365 Enterprise	LEAD WITH AVD Hybrid + Azure Local
Add RemoteApp / app attach where useful. FSLogix for profiles.	Per-user subscription. Intune from day one. No image team needed.	Cloud control, local compute via Arc. Plan for hardware lifecycle.

Cost & operational reality

Level 6 · Where the real cost differences between AVD and Windows 365 show up.

What drives the cost?

Two products, two very different cost structures.

WINDOWS 365

Simple & predictable

- One line item: a fixed monthly licence per user
- Price set by the SKU you pick (vCPU, RAM, storage)
- Compute, storage and network are bundled in
- Watch: egress if Cloud PCs use your own VNet; base M365 licences required
- Mostly all-inclusive → easy to budget

AZURE VIRTUAL DESKTOP

Usage-based & layered

- Compute: hourly VM cost, the largest and most variable line
- Storage: OS disks + FSLogix (Azure Files / NetApp)
- Networking: bandwidth, VPN gateways, other components
- Management: the soft cost of IT time to run it
- Flexible, but you assemble the bill

Two very different cost models

AVD is variable. Windows 365 is fixed. Pricing is illustrative, verify for your region and EA.

AZURE VIRTUAL DESKTOP

Variable · consumption-based

- Pay per compute hour used
- VM cost: €0.14–0.46 / hr by SKU
- Azure Files (FSLogix): ~€0.06 / GB / mo
- Reserved Instances: 30–63% savings
- Auto-scale shutdown: 40–60% savings
- Example D4s_v5: ~€143 / mo (24/7) · ~€66 (12h)
- M365 / Windows licensing: separate

WINDOWS 365

Fixed · per-user subscription

- Fixed price per user, always-on
- Compute, storage, network: included
- Predictable OPEX, no Azure bill surprises
- Enterprise 2vCPU/4GB: ~€29 / user / mo
- Enterprise 4vCPU/16GB: ~€61.80 / user / mo
- Enterprise 8vCPU/32GB: ~€115.10 / user / mo
- M365 licence required separately

TCO by worker pattern

East US · D8s_v5 PAYG · 32 users/VM · FSLogix \$4.80/user. Illustrative. * Flex is priced on peak concurrency, not per named user.

Scenario	AVD Multi (32 users/VM)	AVD Single (40 hrs/wk)	W365 Flex	W365 Enterprise
Light – 4–12h/wk (~26h/mo)	≈ \$5 / user	\$36 / user	\$14 / user *	\$41 / user
Semi-frequent – 26h/wk (~104h/mo)	≈ \$14 / user	\$36 / user	\$14 / user *	\$41 / user
Full-time – 40h/wk	≈ \$3.50 / user (3yr RI), compute only	\$53 / user, all-inclusive	-	\$66 / user, all-inclusive
Real TCO with admin	+ \$10–30 / user / mo AVD overhead	Often wins on TCO	-	Often wins on TCO

AVD Multi wins on pure compute at density; add \$10–30 / user / month of admin overhead and Windows 365 often wins on TCO.

Microsoft 365 prices rise 1 July 2026

This per-user licence sits under both AVD and Windows 365. Annual-commitment list prices, USD.

Microsoft 365 SKU	Current (to 30 Jun 2026)	New (from 1 Jul 2026)	Change
Business Premium	\$22.00	\$22.00	no change
E3	\$36.00	\$39.00	+8%
E5	\$57.00	\$60.00	+5%
F3 (Frontline)	\$8.00	\$10.00	+25%
F1 (Frontline)	\$2.25	\$3.00	+33%

Source: Microsoft 365 list prices, annual commitment, USD. Verify against your agreement.

Managing the platforms

Level 7 · Azure native, Intune and Infrastructure as Code, plus the legacy ties that come along.

Three control surfaces

Different tools own different layers. Most estates use all three together.



Azure native

Portal · CLI · PowerShell · ARM

- The AVD service: host pools, app groups, workspaces
- Scaling plans, networking, RBAC
- AVD & AVD Hybrid control plane



Microsoft Intune

Endpoint management (MEM)

- In-guest config via Settings catalog
- App delivery, compliance, security baselines
- Cloud PCs + AVD single & multi-session



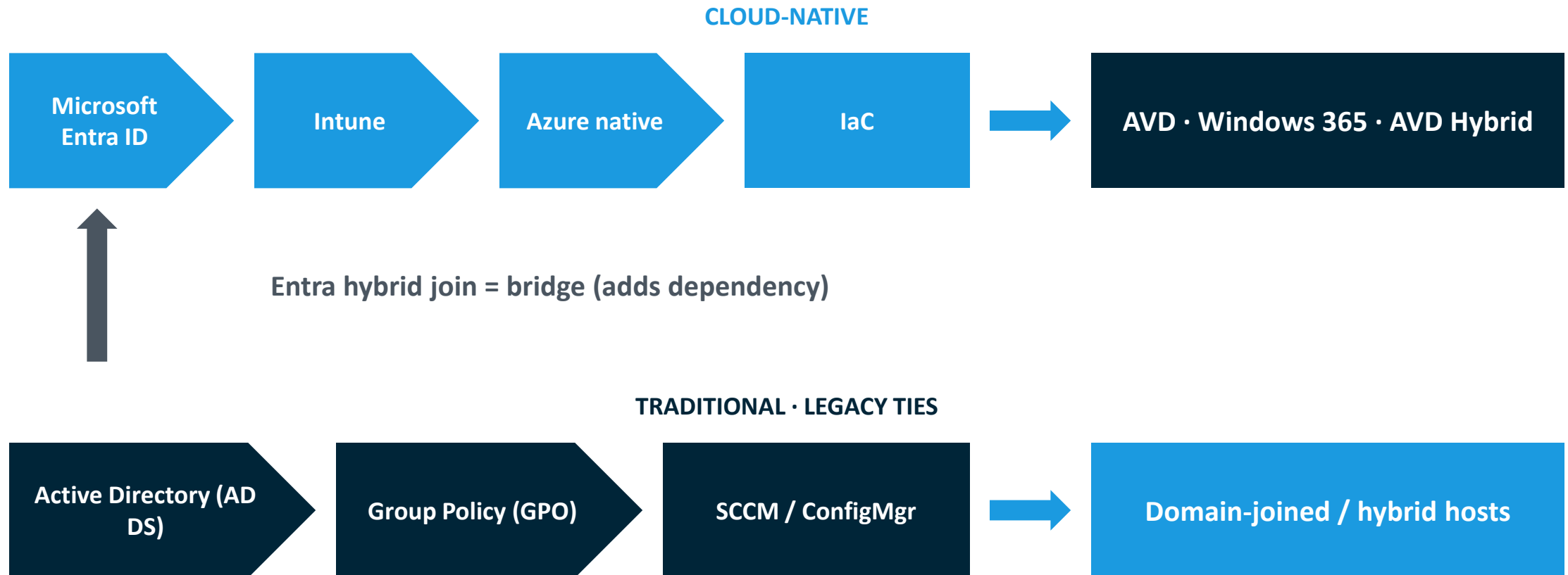
Infrastructure as Code

Bicep · ARM · Terraform

- Repeatable, version-controlled deployment
- Consistency across environments & DR
- Pairs with image lifecycle automation

Modern vs traditional management

Cloud-native planes, the legacy AD/SCCM ties, and the hybrid-join bridge.



Common do's & don'ts

Level 8 · Hard-won lessons for choosing, designing and operating the platforms.

Choosing & designing

Match the workload first; reach for flexibility only where it pays.

DO



Start from the workload, not the product



Default to service-managed (W365); reserve AVD for real needs



Right-size host pools; use autoscale + Reserved Instances



Use the Windows App as the single client



Pilot AVD Hybrid as a validation environment first

DON'T



Pick the platform you know and back-fit the workload



Put always-on 1:1 desktops on AVD personal 'for flexibility'



Treat the AVD Hybrid preview as production



Assume Win 11 multi-session runs anywhere (Azure / Azure Local only)



Ship a full desktop when one app (RemoteApp / Cloud Apps) is enough

Five things to take with you

No universal winner, only the best fit for the workload in front of you.

1	No universal winner.	Only the best fit for a given user, app and operating model.
2	AVD leads on flexibility.	Pooling, design control and deep architectural freedom, when those matter.
3	W365 leads on simplicity.	Standardization, predictable per-user delivery, Intune-native ops.
4	Apps, not desktops.	RemoteApp and Cloud Apps when the requirement is an application. Don't ship a desktop you don't need.
5	Plan for unified ops.	The more models you adopt, the more unified operations matter.

Q & A

Push back. Disagree. Share your weirdest workload. Stuck for a question? What's the workload your org is most uncertain about?

We would love to hear your feedback!

Session feedback
available in home feed
of the app after the
session



Thank You!

